

NIGERIAN AVIATION HANDLING COMPANY PLC
LAGOS, NIGERIA

CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 30 JUNE 2026

NIGERIAN AVIATION HANDLING COMPANY PLC

**CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 30 JUNE 2026**

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NIGERIAN AVIATION HANDLING COMPANY PLC**CORPORATE INFORMATION**

RC No.	30954	
Tax identification number	00209207-0001	
DIRECTORS		
Chairman (Non Executive)	Dr. Seinde Oladapo Fadeni	
Group Managing Director/CEO	Mr. Olumuyiwa Olumekun	
Executive Directors	Dr. Peter Olusola Obabori Prince Saheed Lasisi	
Non-Executive Directors	Mr. Taofeeq Oluwatoyin Salman Mr. Tajudeen Moyosola Shobayo Prof. Enyinna Ugwuichi Okpara Mr. Abdulhamid Aliyu Rev. Olaiya Victor Abimbola	Resigned 30 June 2026
Independent Non- Executive Directors	Mrs. Abimbola Adunola Adebakin Mrs. Adebisi Oluwayemisi Bakare Mr. Akinwumi Godson Fanimokun	Resigned 15 June 2026
Registered Office	NAHCO Aviance House Murtala Muhammed International Airport Ikeja, Lagos	
Registrars	Cardinal Stone Registrars Limited 358, Herbert Macaulay Way Yaba, Lagos P. O. Box 9117 Lagos, Nigeria	
Company Secretary	Dikko & Mahmoud (Solicitors & Advocates) No 10 Seguela Street, Wuse 2 F.C.T. Abuja	
Auditor	PricewaterhouseCoopers (PwC) FF Millennium Towers, 13/14 Ligali Ayorinde Street Victoria Island, Lagos.	
Bankers	Access Bank Plc Citibank Nigeria Limited Ecobank Plc Fidelity Bank Plc First Bank of Nigeria Limited Globus Bank Limited Guaranty Trust Bank Plc Polaris Bank Limited Stanbic IBTC Bank Plc Union Bank Plc Wema Bank Plc Zenith Bank Plc	

NIGERIAN AVIATION HANDLING COMPANY PLC

CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS & OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 JUNE 2026

	Notes	Group				Company			
		2026 Jan-Jun N'000	2025 Jan-Jun N'000	2026 Apr-Jun N'000	2025 Apr-Jun N'000	2026 Jan-Jun N'000	2025 Jan-Jun N'000	2026 Apr-Jun N'000	2025 Apr-Jun N'000
Revenue	5	35,355,866	32,329,639	18,881,741	15,292,650	31,448,751	29,462,514	16,322,356	14,489,115
Operating costs	9a	(16,508,547)	(13,166,802)	(8,530,654)	(5,584,977)	(13,621,821)	(11,064,581)	(6,568,299)	(5,064,043)
Gross profit		18,847,319	19,162,837	10,351,087	9,707,673	17,826,930	18,397,933	9,754,057	9,425,072
Other income	6	458,763	254,769	284,967	169,034	455,395	213,817	282,952	128,082
Administrative expenses	9b	(4,413,450)	(7,780,348)	(2,005,979)	(4,405,005)	(4,082,679)	(7,438,428)	(1,846,298)	(4,228,390)
Expected credit losses	9c	(300,000)	-	(300,000)	-	(300,000)	-	(300,000)	-
Profit from operations		14,592,632	11,637,258	8,330,075	5,471,702	13,899,646	11,173,322	7,890,711	5,324,764
Finance costs	7	(874,465)	(1,111,212)	(407,802)	(554,560)	(823,722)	(1,045,283)	(387,370)	(551,492)
Finance income	7	649,235	1,265,707	246,824	1,096,858	551,603	1,254,048	179,408	1,089,151
Profit before tax		14,367,402	11,791,753	8,169,097	6,014,000	13,627,527	11,382,087	7,682,749	5,862,423
Income tax expense	8(a)	(3,521,098)	(2,912,263)	(1,843,015)	(1,486,502)	(3,406,882)	(2,845,521)	(1,748,890)	(1,465,605)
Profit for the period		10,846,304	8,879,490	6,326,082	4,527,498	10,220,645	8,536,566	5,933,859	4,396,818
Other comprehensive income		-	-	-	-	-	-	-	-
Total comprehensive income for the period, net of tax		10,846,304	8,879,490	6,326,082	4,527,498	10,220,645	8,536,566	5,933,859	4,396,818
Profit attributable to:									
Equity holders of the parent		10,855,152	8,866,643	6,319,007	4,548,666	10,220,645	8,536,566	5,933,859	4,396,818
Non-controlling interest	25b	(8,848)	12,847	7,075	(21,168)	-	-	-	-
		10,846,304	8,879,490	6,326,082	4,527,498	10,220,645	8,536,566	5,933,859	4,396,818
Earnings per share:									
Basic/diluted earnings per share (Kobo)	10	487	455	254	233	459	438	239	226

The accompanying notes form an integral part of these consolidated and separate financial statements

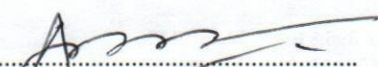
NIGERIAN AVIATION HANDLING COMPANY PLC
CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION
AS AT 30 JUNE 2026

	Notes	Group		Company	
		June 2026 N'000	Dec 2025 N'000	June 2026 N'000	Dec 2025 N'000
Assets					
Non-current assets					
Property, plant and equipment	11	25,498,805	26,375,631	24,954,215	25,790,803
Intangible assets	14	979,860	1,046,070	885,845	949,481
Investment property	15	250,170	254,368	250,170	254,368
Right-of-use assets	12&13	2,146,645	2,202,467	2,146,645	2,202,467
Investment in subsidiaries	16	-	-	241,000	241,000
Total non-current assets		28,875,480	29,878,536	28,477,875	29,438,119
Current assets					
Inventories	17	1,069,877	1,649,337	1,058,448	1,144,108
Trade and other receivables	19	14,373,121	11,134,303	12,901,203	9,838,017
Intercompany receivables	20	-	-	431,648	416,296
Intercompany loan	20b	-	-	325,159	325,159
Prepayments	18	3,240,612	1,250,943	2,848,542	605,738
Cash and Cash Equivalents	22	4,132,500	11,206,662	1,353,935	9,412,679
Total current assets		22,816,110	25,241,245	18,918,935	21,741,997
Total assets		51,691,590	55,119,781	47,396,810	51,180,116
Equity and liabilities					
Equity					
Share capital	23	1,113,750	974,531	1,113,750	974,531
Share premium	24	1,613,117	1,752,336	1,613,117	1,752,336
Retained earnings	25	21,925,005	23,251,494	20,051,406	22,012,402
Total equity attributable to equity holders of the Company		24,651,872	25,978,361	22,778,273	24,739,269
Non-controlling interests	25b	8,904	17,752	-	-
Total equity		24,660,776	25,996,113	22,778,273	24,739,269
Non-current liabilities					
Lease liabilities	26	2,141,604	2,368,230	2,141,604	2,368,230
Deferred tax liabilities	8c	756,495	756,495	733,078	733,078
Interest-bearing loan and borrowings	27.2	2,428,360	1,208,507	2,428,360	1,208,507
Total non-current liabilities		5,326,459	4,333,232	5,303,042	4,309,815

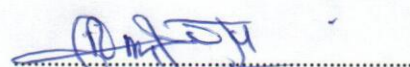
NIGERIAN AVIATION HANDLING COMPANY PLC
CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION – Continued
AS AT 30 JUNE 2026

	Notes	Group		Company	
		June 2026 N'000	Dec 2025 N'000	June 2026 N'000	Dec 2025 N'000
Current liabilities					
Current tax liabilities	8b	4,339,958	6,615,803	4,173,526	6,467,970
Trade and other payables	27	13,744,486	11,784,867	13,088,317	11,353,845
Interest-bearing loan and borrowings	27.2	2,126,592	4,265,720	1,953,925	4,102,553
Lease liabilities	26	-	103,278	-	103,278
Deferred income	28	1,493,319	2,020,768	99,727	103,386
Total current liabilities		21,704,355	24,790,436	19,315,495	22,131,032
Total liabilities		27,030,814	29,123,668	24,618,537	26,440,847
Total equity and liabilities		51,691,590	55,119,781	47,396,810	51,180,116
		=====	=====	=====	=====

The financial statements were approved by the Board of Directors on 29 July, 2026 and signed on its behalf by:



 Mr. Olumuyiwa Olumekun
 Group Managing Director
 FRC/2013/PRO/IODN/002/00000003965



 Mr. Adeoye Emiloju
 Chief Financial Officer
 FRC/2019/PRO/ICAN/001/00000019815

The accompanying notes form an integral part of these consolidated and separate financial statements

NIGERIAN AVIATION HANDLING COMPANY PLC

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE 2026

Group	Share capital N'000	Share premium N'000	Retained earnings N'000	Total N'000	Non- Controlling interest N'000	Total equity N'000
2026						
At 1 January 2026	974,531	1,752,336	23,251,494	25,978,361	17,752	25,996,113
Bonus issue of shares	139,219	(139,219)	-	-	-	-
Profit for the period	-	-	10,855,152	10,855,152	(8,848)	10,846,304
Other comprehensive income net of tax	-	-	-	-	-	-
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Total comprehensive income for the period, net of tax	139,219	(139,219)	10,855,152	10,855,152	(8,848)	10,846,304
	-----	-----	-----	-----	-----	-----
Investment by NCI	-	-	-	-	-	-
Dividend paid (Note 25c)	-	-	(12,181,641)	(12,181,641)	-	(12,181,641)
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At 30 June 2026	1,113,750	1,613,117	21,925,005	24,651,872	8,904	24,660,776
	=====	=====	=====	=====	=====	=====
2025						
At 1 January 2025	974,531	1,752,336	17,314,624	20,041,491	33,500	20,074,991
Profit for the year	-	-	17,514,298	17,514,298	(15,748)	17,498,550
Other comprehensive income net of tax	-	-	-	-	-	-
	-----	-----	-----	-----	-----	-----
Total comprehensive income for the year, net of tax	-	-	17,514,298	17,514,298	(15,748)	17,498,550
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Investment by NCI	-	-	-	-	-	-
Dividend paid (Note 25c)	-	-	(11,577,428)	(11,577,428)	-	(11,577,428)
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At 31 December 2025	974,531	1,752,336	23,251,494	25,978,361	17,752	25,996,113
	=====	=====	=====	=====	=====	=====

The accompanying notes form an integral part of these consolidated and separate financial statements

NIGERIAN AVIATION HANDLING COMPANY PLC

SEPARATE STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE 2026

Company 2026	Share capital N'000	Share premium N'000	Retained earnings N'000	Total N'000
At 1 January 2026	974,531	1,752,336	22,012,402	24,739,269
Bonus issue of shares	139,219	(139,219)		-
Profit for the period	-	-	10,220,645	10,220,645
Other comprehensive income net of tax	-	-	-	-
	-----	-----	-----	-----
Total comprehensive income for the period, net of tax	139,219	(139,219)	10,220,645	10,220,645
	-----	-----	-----	-----
Dividend paid (Note 25c)	-	-	(12,181,641)	(12,181,641)
	-----	-----	-----	-----
At 30 June 2026	1,113,750	1,613,117	20,051,406	22,778,273
	=====	=====	=====	=====
2025	Share capital N'000	Share premium N'000	Retained earnings N'000	Total N'000
At 1 January 2025	974,531	1,752,336	15,704,422	18,431,289
Profit for the year	-	-	17,885,408	17,885,408
Other comprehensive income net of tax	-	-	-	-
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Total comprehensive income for the year, net of tax	-	-	17,885,408	17,885,408
	-----	-----	-----	-----
Dividend paid (Note 25c)	-	-	(11,577,428)	(11,577,428)
	-----	-----	-----	-----
At 31 December 2025	974,531	1,752,336	22,012,402	24,739,269
	=====	=====	=====	=====

The accompanying notes form an integral part of these consolidated and separate financial statements

NIGERIAN AVIATION HANDLING COMPANY PLC

CONSOLIDATED AND SEPARATE STATEMENTS OF CASH FLOWS

FOR THE PERIOD ENDED 30 JUNE 2026

	Notes	Group		Company	
		June 2026 N'000	Dec 2025 N'000	June 2026 N'000	Dec 2025 N'000
Operating activities					
Profit before tax		14,367,402	24,280,068	13,627,527	24,486,277
Adjustments to reconcile profit before tax to net cash flows:					
Depreciation of property, plant and equipment	9d	1,536,304	2,485,933	1,495,251	2,445,370
Depreciation of investment property	9d	4,198	10,537	4,198	10,537
Amortization of intangible asset	9d	66,211	22,972	63,636	22,571
Depreciation of right-of-use asset	9d	55,822	111,639	55,822	111,639
Dividend income from subsidiaries	6	-	-	-	(404,749)
Profit on disposal of property, plant and equipment	6	(30,631)	(5,940)	(29,977)	(2,940)
Expected credit losses on account receivables	9c	300,000	617,735	300,000	616,525
Expected credit losses on intercompany loan	9c	-	-	-	(87,227)
Expected credit loss on short-term deposit	9c	-	(896)	-	103
Property, plant and equipment written off	9b	-	45,826	-	45,826
Deferred rent released to profit or loss	28	(109,377)	(149,667)	(109,377)	(149,667)
Withholding tax offset	8b	(232,127)	-	(232,127)	-
Finance cost	7	874,465	2,187,864	823,722	2,046,447
Finance income	7	(649,235)	(1,453,517)	(551,603)	(1,365,949)
Inventories written off	9b(i)	-	2,596	-	2,596
Unrealized exchange (gain)/loss	9	(21,088)	99,222	(79,568)	99,222
		16,161,944	28,254,372	15,367,504	27,876,581
Working capital adjustments:					
(Increase)/Decrease in inventories		579,460	(756,295)	85,660	(463,574)
(Increase)/Decrease In trade and other receivables		(3,538,818)	472,494	(3,363,186)	(2,279,429)
(Increase) in intercompany receivables		-	-	(15,352)	(116,149)
(Increase)/Decrease in prepayments		(1,989,669)	200,134	(2,242,804)	523,233
Increase/ (Decrease) in trade and other payables		1,980,707	(2,170,234)	1,814,040	(2,626,730)
		13,193,624	26,000,471	11,645,862	22,913,932
Taxation paid	8(b)	(5,564,816)	(3,970,324)	(5,469,199)	(3,864,206)
Net cash flows from operating activities		7,628,808	22,030,147	6,176,663	19,049,726

The accompanying notes form an integral part of these consolidated and separate financial statements

NIGERIAN AVIATION HANDLING COMPANY PLC

CONSOLIDATED AND SEPARATE STATEMENTS OF CASH FLOWS – Continued

FOR THE PERIOD ENDED 30 JUNE 2026

		Group		Company	
		June 2026	Dec 2025	June 2026	Dec 2025
	Notes	N'000	N'000	N'000	N'000
Investing activities					
Purchase of property, plant and equipment	11	(659,478)	(5,567,653)	(658,663)	(5,131,804)
Acquisition of intangible asset	14	-	(877,207)	-	(876,532)
Proceeds from disposal of property, plant and equipment	6	30,631	23,083	29,977	19,867
Dividend received from subsidiaries	6	-	-	-	404,749
Rent received/(paid)	28	(418,072)	1,972,904	105,718	240,447
Interest received	7	649,235	1,453,517	551,603	1,365,949
		-----	-----	-----	-----
Net cash flow (used) in/flow from investing activities		(397,684)	(2,995,356)	28,635	(3,977,324)
		-----	-----	-----	-----
Financing activities					
Interest paid	27.2.1	(660,067)	(1,706,666)	(609,324)	(1,588,416)
Lease payment	26	(544,302)	(816,826)	(544,302)	(816,826)
Loan received from bank	27.2.1	1,229,352	50,000	1,219,853	-
Loan repayment	27.2.1	(2,295,249)	(1,745,015)	(2,295,249)	(1,745,015)
Intercompany loan	20b	-	-	-	(39,800)
Intercompany loan repayment	20b	-	-	-	3,210,000
Dividends paid to equity holders of the parent	25	(12,181,641)	(11,577,428)	(12,181,641)	(11,577,428)
		-----	-----	-----	-----
Net cash flows used in financing activities		(14,451,907)	(15,795,935)	(14,410,663)	(12,557,485)
		-----	-----	-----	-----
Net (decrease)/ increase in cash and cash equivalent		(7,220,783)	3,238,856	(8,205,365)	2,514,917
Cash and cash equivalents at 1 January		9,399,784	6,160,928	7,605,801	5,090,884
		-----	-----	-----	-----
Cash and cash equivalents at 30 June	22.1	2,179,001	9,399,784	(599,564)	7,605,801
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The accompanying notes form an integral part of these consolidated and separate financial statements

NIGERIAN AVIATION HANDLING COMPANY PLC
Shareholding Structure/Free Float Status

Description	30-Jun-26		30-Jun-25	
	Units	Percentage (In relation to Issued Share Capital)	Units	Percentage (In relation to Issued Share Capital)
Issued Share Capital	2,227,500,000	100%	1,949,062,500	100%
Details of Substantial Shareholdings (5% and above)				
[Name(s) of Shareholders]				
Godsmart Nigeria Ltd	568,335,874	25.51%	532,278,312	27.31%
White Cowry Industries Limited	192,735,842	8.65%	168,643,862	8.65%
Awhua Resources Limited	158,794,842	7.13%	138,945,487	7.13%
Total Substantial Shareholdings	919,866,558	41.29%	839,867,661	43.09%
Details of Directors Shareholdings (direct and indirect), excluding directors' holding substantial interests				
[Name(s) of Directors]				
Dr. Seinde Fadeni Oladapo	-	0.00%	-	0.00%
Rev.Olaiya Victor A.	1,337,305	0.06%	778,210	0.04%
Mr. Indranil Gupta	-	0.00%	-	0.00%
Mrs. Bakare Adebisi Oluwayemisi	43,496	0.00%	38,059	0.00%
Mr. Akinwumi Godson Fanimokun (Direct) - Resigned 15 June 2026	3,494,024	0.16%	7,031,932	0.36%
Mr. Salman Taofeeq Oluwatoyin - Resigned 30 June 2026	61,714	0.00%	54,000	0.00%
Mr. Abdulhamid Aliyu	-	0.00%	-	0.00%
Mr. Tajudeen Moyosola Shobayo (Direct)	25,698,021	1.15%	19,508,768	1.00%
Prof. Enyinna Ugwuuchi Okpara (Direct)	152,000	0.01%	39,600	0.00%
Dr. Peter Olusola Obabori	1,232,857	0.06%	-	0.00%
Mrs. Abimbola Adunola Adebakin	-	0.00%	-	0.00%
Mr. Olumekun Muyiwa	171,429	0.01%	-	0.00%
Prince Saheed Lasisi (Direct)	6,773,176	0.30%	7,301,999	0.37%
Total Directors' Shareholdings	38,964,022	1.75%	34,752,568	1.77%
Details of Other Influential shareholdings, if any (E.g. Government, Promoters)				
[Name(s) of Entities/ Government]	-	-	-	-
Total of Other Influential Shareholdings	-	-	-	-
Free Float in Unit and Percentage	1,268,669,420	56.96%	1,074,442,271	55.14%
Free Float in Value	₦188,397,408,870.00		₦84,752,006,336	

Declaration:

- A) NAHCO Plc with a free float percentage of **56.95%** as at June 30, 2026 is compliant with The Exchange's free float requirements for companies listed on the Main Board.
- B) NAHCO Plc with a free float percentage of **55.13%** as at June 30, 2025 is compliant with The Exchange's free float requirements for companies listed on the Main Board.

Note:

* Share Price as at June 30, 2026 **₦148.50**

* Share Price as at June 30, 2025 **₦78.88**

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS

1 Reporting entity

Nigerian Aviation Handling Company PLC ("nahco aviance" or "the Company") is a company domiciled in Nigeria with its registered office at Murtala Muhammed International Airport, Ikeja, Lagos. The consolidated financial statements of the Group for the period ended 30 June 2026 comprise the Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities"). The group is primarily involved in provision of services including aircraft handling, cargo handling, passenger handling, passenger profiling, crew transportation, energy and power distribution and leasing of ground handling equipment.

2 Basis of preparation

(a) Statement of compliance

The financial statements have been prepared in accordance with the IFRS Accounting Standards as issued by the International Accounting Standards Board, the provisions of the Companies and Allied Matters Act 2020 and in compliance with the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

The consolidated and separate financial statements were authorized for issue by the Directors on 29 July, 2026.

(b) Functional and presentation currency

These financial statements are presented in the Nigerian Naira, which is the Group's functional currency. Except as indicated, financial information presented in Naira has been rounded to the nearest thousands.

(c) Basis of measurement

These financial statements are prepared on the historical cost basis except where fair values are adopted and disclosed in the policy and notes to the consolidated and separate financial statements.

(d) Composition of the Financial Statements

Financial statements consist of :

- (i) Consolidated and separate statements of profit or loss and other comprehensive income
- (ii) Consolidated and separate statements of the financial position
- (iii) Consolidated and separate statements of changes in equity
- (iv) Consolidated and separate statements of cash flows
- (v) Notes to the consolidated and separate financial statements

(e) Use of estimates and judgments

The preparation of the consolidated and separate financial statements is in conformity with the IFRSs requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised, if the revision affects only that period, or in the period of the revision and future periods, if the revision affects both current and future periods.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

2 Basis of preparation – Continued

(e) Use of estimates and judgments - Continued

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, which have the most significant effect on the amounts recognised in the financial statements:

Determining the timing of satisfaction of Ground and Cargo Handling Services

Revenue from contract with customers is to be recognized over time because the customer simultaneously receives and consumes the benefits provided by the Company. The fact that another entity would not need to re-perform the service that the Company has provided to date demonstrates that the customer simultaneously receives and consumes the benefits of the Company's performance as it performs.

The company has determined that the input method is the best method in measuring progress of Ground and Cargo Handling

Operating lease commitments – Group as lessor

The group has entered into commercial property leases on its investment property portfolio. The group has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the commercial property and the present value of the minimum lease payments not amounting to substantially all of the fair value of the commercial property, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

Going concern

The group's management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The group based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Discount rate used to determine the incremental borrowing rate

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate (IBR) as it relates to each specific subsidiary to measure lease liabilities. The IBR is the rate of interest that each entity in the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

The group estimates the IBR using the following steps:

Step 1: Reference rate: This is generally a government bond reflecting risk-free rate. Repayment profile was considered when aligning the term of the lease with the term for the source of the reference rate.

Step 2: Financing spread adjustment: Use credit spreads from debt with the appropriate term by considering Company's stand-alone credit rating or similar Company credit rating.

Step 3: Lease specific adjustment: Use of market yield for the leased assets, as an additional data point and to check the overall IBRs calculated.

2 Basis of preparation – Continued

(e) Use of estimates and judgments – Continued

Re-assessment of useful lives and residual values

The Group carries its PPE at cost less accumulated depreciation and impairment in the consolidated and separate statements of financial position. The annual review of the useful lives and residual value of PPE result in the use of significant management judgements.

Impairment of non-financial assets

Impairment exists when the carrying value of an asset or cash generating unit exceeds its recoverable amount, which is the higher of its fair value less costs to sell and its value in use. The fair value less costs to sell calculation is based on available data from binding sales transactions, conducted at arm's length for similar assets or observable market prices less incremental costs for disposing of the asset. The value in use calculation is based on a discounted cash flow model. The cash flows are derived from the budget for the next five years and do not include restructuring activities that the Group is not yet committed to or significant future investments that will enhance the asset's performance of the CGU being tested. The recoverable amount is most sensitive to the discount rate used for the discounted cash flow model as well as the expected future cash inflows and the growth rate used for extrapolation purposes.

The Group recognizes an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For trade receivables and contract assets, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For debt instruments at fair value through OCI, the Group applies the low credit risk simplification. At every reporting date, the Group evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Group reassesses the internal credit rating of the debt instrument. In addition, the Group considers that there has been a significant increase in credit risk when contractual payments are more than 30 days past due.

The group considers a financial asset in default when contractual payments are 90 days past due. However, in certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

Fair value of financial instruments

When the fair value of financial assets and financial liabilities recorded in the consolidated and separate statements of financial position cannot be derived from active markets, their fair value is determined using valuation techniques including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. The judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

2 Basis of preparation – Continued

(e) Use of estimates and judgments – Continued

Provision for expected credit losses of trade receivable

The company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, product type, customer type and rating).

The provision matrix is initially based on the Group's historical observed default rates. The company will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. For instance, if forecast economic conditions (i.e., gross domestic product) are expected to deteriorate over the next year which can lead to an increased number of defaults in the manufacturing sector, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future.

Taxes

Uncertainties exist with respect to the interpretation of complex tax regulations, changes in tax laws, the amount and timing of future taxable income. Given the wide range of international business relationships and the long-term nature and complexity of existing contractual agreements, differences arising between the actual results and the assumptions made, or future changes to such assumptions, could necessitate future adjustments to tax income and expense already recorded. The group establishes provisions, based on reasonable estimates, for possible consequences of audits by the tax authorities.

3 Material accounting policies information

The material accounting policies information set out below have been applied consistently to all periods presented in these financial statements.

(a) Basis of Consolidation

The consolidated and separate financial statements comprise the financial statements of the Group and its subsidiaries as at 30 June 2026. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The group's voting rights and potential voting rights

The group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of Other Comprehensive Income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

3 Material accounting policies information - Continued

(a) Basis of Consolidation - Continued

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognizes the related assets (including goodwill), liabilities, non-controlling interest and other components of equity, while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

(b) Foreign currency

Foreign currency transactions

Transactions in foreign currencies are translated into the respective functional currencies of Group entities at exchange rates at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at each reporting date are retranslated to the functional currency at exchange rates as at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in the functional currency translated at the exchange rate at the end of the year. Differences arising on settlement or translation of monetary items are recognised in the profit or loss.

(c) Property, plant and equipment

Recognition and measurement

All property, plant and equipment are initially stated in the statement of financial position at cost .

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset. Items of property, plant and equipment under construction are disclosed as capital work-in-progress. The cost of construction recognized includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and borrowing costs on qualifying assets.

An item of property, plant and equipment is derecognized on disposal or when no future economic benefits are expected from its use or disposal. Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized in profit or loss.

Subsequent costs

The cost of replacing part of an item of property or plant is recognised in the carrying amount of the item if it is probable that future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably.

The carrying amount of the replaced component is derecognised. The costs of the day-to-day servicing of property and equipment are recognised in the profit or loss as incurred.

Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis to write down the cost of each asset, to their residual values over the estimated useful lives of each part of an item of property and equipment. Leased assets under finance lease are depreciated over the shorter of the lease term and their useful lives. Items of property, plant and equipment are depreciated from the date that they are installed and are ready for use, or in respect of internally constructed assets, from the date the asset is completed and available for use. Depreciation ceases at the earlier of the date that the asset is derecognised or classified as held for sale in accordance with IFRS 5. A non-current asset or disposal group is not depreciated while it is classified as held for sale.

3 Material accounting policies information - Continued

(c) Property, plant and equipment - Continued

The estimated useful lives for the current and comparative period are as follows:

Leasehold land	50 years
Leasehold building	50 years
Buildings	50 years
Computer equipment	3-10 years
Furniture, and equipment	2-10 years
Motor vehicles	4- 6 years
Plant and machinery	6-15 years
Capital work-in-progress	Not depreciated

Depreciation methods, useful lives and residual values are reviewed at each financial year- end and adjusted if appropriate. The assessment of the useful life during the year, has no significant impact on the financial statements.

Capital work-in-progress are assets under construction which take substantial period of time before being ready for their intended use. These are recorded at the cost incurred to date less any impairment loss and no depreciation is charged on these amounts. Depreciation commences when the assets are ready for their intended use.

De-recognition

An item of property and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognised.

(d) Intangible assets

The group's intangible assets comprise software that are not integral part of the related hardware. The intangible assets have finite useful lives of between ten and thirty years (10-30 years) and are measured at cost less accumulated amortisation and accumulated impairment losses.

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognised in profit or loss as incurred.

Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each annual reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset are recognised in the profit or loss when the asset is derecognised.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

(e) Inventories

Inventories are shown at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale. The cost includes direct cost and appropriate overheads and is determined on the first-in first-out method.

3 Material accounting policies information - Continued

(f) Financial Instruments

i) Financial assets

Recognition

Non-derivative financial instruments- recognition and measurement

The Group recognizes a financial asset when it becomes a party to the contractual provisions of the instrument. The Group initially recognizes trade and other receivables on the date of transaction. Transaction cost of a financial asset measured at fair value through profit or loss is recognized as profit or loss.

Trade and other receivables

A receivable represents the Company's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Classification of non-derivative financial assets

Classification and measurement model of non-derivative financial assets are summarized as follows. The Group classifies financial assets at initial recognition as financial assets measured at amortized cost, debt instruments measured at fair value through other comprehensive income,

Initial recognition and measurement

Financial assets are classified, at initial recognition, as subsequently measured at amortised cost, fair value through other comprehensive income (OCI), and fair value through profit or loss.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs. Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient are measured at the transaction price.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through OCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss equity instruments measured at fair value through other comprehensive income or financial assets measured at fair value through profit or loss.

3 Material accounting policies information - Continued

(f) Financial Instruments – Continued

Financial assets measured at amortized cost

A financial asset that meets both the following condition is classified as a financial asset measured at amortized cost.

- The financial asset is held within the Group's business model whose objective is to hold assets in order to collect contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A financial asset measured at amortized cost is initially recognized at fair value plus transaction cost directly attributable to the asset. After initial recognition, carrying amount of the financial asset measured at amortized cost is determined using the effective interest method, net of impairment loss, if necessary.

Debt instruments measured at fair value through other comprehensive income

A debt instrument that meets both the following condition is classified as a financial asset measured at fair value through other comprehensive income.

- The financial asset is held within the Group's business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt instrument measured at fair value through other comprehensive income is recognized initially at fair value plus transaction cost directly attributable to the asset. After initial recognition, the asset is measured at fair value with changes in fair value included as "financial asset at fair value through other comprehensive income" in other comprehensive income. Accumulated gains or losses recognized through other comprehensive income are directly transferred to profit or loss when debt instrument is derecognized.

Trade and other payables

Trade and other payables are stated at amortised cost using the effective interest method. Short-duration other payables with no stated interest rate are measured at original invoice amount unless the effect of imputing interest would be significant.

a **Derecognition of financial assets**

The Group derecognises a financial asset when the contractual rights to cash flows from the asset expire, or it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred, or has assumed an obligation to pay those cashflows to one or more recipients, subject to certain criteria.

Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

ii. **Non-derivative financial liabilities.**

Recognition and measurement of financial liabilities

The Group recognizes financial debt when the Group becomes a party to the contractual provisions of the instruments. The measurement of financial debt is explained in (b) Classification of financial liabilities.

(b) **Classification of financial liabilities**

A financial liability other than those measured at fair value through profit or loss is classified as a financial liability measured at amortized cost. A financial liability at amortized cost is initially measured at fair value less transaction cost directly attributable to the issuance of the financial liability. After initial recognition, the financial liability is measured at amortized cost based on the effective interest rate method.

3 Material accounting policies information - Continued

(f) Financial Instruments – Continued

(c) Derecognition of financial liabilities

The Group derecognizes a financial liability when the financial liability is distinguished, i.e. when the contractual obligation is discharged or cancelled or expired.

Impairment of financial asset

The Group recognizes 12-month expected credit loss as loss allowance when there is no significant increase in the credit risk since initial recognition. When there is a significant increase in credit risk since initial recognition, expected credit losses for the remaining life of the financial assets are recognized as loss allowance. Whether credit risk is significantly increased or not is determined based on the changes in default risk. To determine if there is a change in default risk, following factors are considered. However, the Group always measures loss allowance for trade receivables at an amount equal to lifetime expected credit losses.

- External credit rating of the financial asset
- Downgrade of internal credit rating
- and increase in leverage.

Financial assets at amortised cost (debt instruments)

Financial assets at amortised cost are subsequently measured using the effective interest (EIR) method and are subject to impairment. Gains and losses are recognised in profit or loss when the asset is derecognized, modified or impaired.

The Group's financial assets at amortised cost includes trade receivables.

Trade and other receivables

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less allowance for impairment. The carrying amount of trade receivable is reduced through the use of an allowance account. When trade receivables are uncollectible, it is written off as 'administrative expenses' in the profit or loss. Subsequent recoveries of amounts previously written off are included in other operating income.

Cash and short-term deposits

Cash and cash equivalents comprise of cash, bank balances and call deposits with original maturities of three months or less. There is no significant loss of value on conversion.

For the purpose of the consolidated and separate statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Group's cash management.

(g) Share Capital

Ordinary Shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares and share options are recognised as deductions from equity, net of any tax effects.

Dividend on ordinary shares

Dividends on the Group's ordinary shares are recognised in equity in the period in which they are paid or, if earlier, approved by the Group's shareholders.

(h) Taxation

Income tax on the profit or loss for the year comprises current tax. Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted at the reporting date and any adjustment required for prior period.

Deferred tax is recognised in respect of temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax is not recognised for the temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised.

3 Material accounting policies information - Continued

(i) Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an employee benefit expense in the profit or loss when they are due. In accordance with the Pension reform Act 2014, employees contribute 8% from their salary while the company contributes 10% on behalf of each employee. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available.

(j) Short-term benefits

Short-term employee benefit obligations including salaries, allowances, and bonuses are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Termination benefits

Termination benefits are expensed at the earlier of when the Company can no longer withdraw the offer of those benefits and when the Company recognises costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the end of the reporting period, then they are discounted.

(k) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received, and the amount of the receivable can be measured reliably.

(l) Revenue from contract with customers

The group is involved in aviation cargo, aircraft handling, crew and passenger transportation service delivery and power distribution. Revenue from contract with customer is recognized when controls of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Group expects to be entitled in an exchange for those goods and services.

Passenger and Aircraft Handling services

The performance obligation is satisfied upon completion and acceptance by the customers.

Cargo Handling services

These are contracts with customers with respect to cargo handling services and the performance is satisfied over time and payment is generally due upon completion and acceptance of the customers.

(m) Finance income and expense

Finance income comprise of interest on funds invested. Finance costs comprise interest expense on borrowings, exchange differences on financial instruments and bank charges.

Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in the profit and loss using the effective interest method. Foreign currency gains and losses are reported on a net basis as either finance income or finance cost depending on whether foreign currency movements are in a net gain or net loss position except for foreign currency translation differences recorded in other comprehensive income.

3 Material accounting policies information - Continued

(n) Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production of goods and services or for administrative purposes. Investment property is measured at cost less accumulated depreciation and impairment loss. Cost includes expenditure that is directly attributable to the acquisition of the investment property. Investment property held by the Group is depreciated over the estimated useful life of 50 years on a straight-line basis. Fair values are determined at the end of the reporting period and disclosed.

(o) Earnings per share

The group presents basic earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period.

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for own shares held, for the effects of all dilutive potential ordinary shares. The Group did not have diluted shares, hence there was not calculation of diluted EPS.

(p) Fair value measurement

The group measures financial instruments and non-financial assets such as investment properties, at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability

Or

- In the absence of a principal market, in the most advantageous market for the asset or liability. The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

3 Material accounting policies information - Continued

(q) Current versus non-current classification

The group presents assets and liabilities in the statement of financial position based on current/non-current classification. An asset is current when it is:

- Expected to be realised or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realised within twelve months after the reporting period

Or

- Cash or cash equivalents unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period

Or

- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

(r) Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a leasee

The Group applies a single recognition and measurement approach for all leases. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right of use of assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, plus any accrued lease liabilities or prepayments. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets, as follows:

- Office building 15-20 years
- Leasehold land 50 years

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset.

The right-of-use assets are also subject to impairment. Refer to the accounting policies in section (2) Impairment of non-financial assets.

3 Material accounting policies information - Continued

(r) Leases - Continued

ii) Lease Liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include only fixed payments.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

iii) Short term leases

The Group applies the short-term lease recognition exemption to its short-term leases of properties (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms and is included in other income in the statement of profit or loss due to its nature. Initial direct costs incurred in negotiating and arranging an

Group as a lessee

The Group has lease contracts for various land and buildings used in its operations. Leases of land and buildings generally have lease terms between 15 to 20 years. The Group's obligations under its leases are secured by the lessor's title to the leased assets. Most of these lease contracts contain extension and termination options which have been considered in the non-cancellable period of the lease. All lease arrangements below N50,000 are expensed in the year they are incurred.

(s) **Government Grant**

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the period that the related costs, for which it is intended to compensate, are expensed. When the grant relates to an asset, it is recognised as income in equal amounts over the expected useful life of the related asset.

When the Group receives grants of non-monetary assets, the asset and the grant are recorded at fair value amounts and released to the profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset by equal annual instalments. When loans or similar assistance are provided by governments or related institutions, with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as a government grant. The loan or assistance is initially recognised and measured at fair value and the government grant is measured as the difference between the initial carrying value of the loan and the proceeds received.

4 **Changes in accounting policies and disclosures**

4a. **Standards and interpretations effective in the current year**

In the current year, the Company has applied a number of amendments to IFRS Standards and Interpretations issued by the International Accounting Standards Board (IASB) that are effective for an annual period that begins on or after 1 January 2024.

As it is imperative for reporting entities to consider the impact of the new standards/amendments and ensure that the financial statements include necessary disclosures required on the initial application of an IFRS/amendments and in accordance with IAS 8.28.

Lease liability in a Sale and Leaseback – Amendments to IFRS 16

In September 2022, the Board issued Lease Liability in a Sale and Leaseback (amendments to IFRS 16). The amendment to IFRS 16 specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains.

The amendment is effective for annual reporting periods beginning on or after 1 January 2024 and applies to seller lessee. A seller-lessee applies the amendment retrospectively in accordance with IAS 8 to sale and leaseback transactions entered into after the date of initial application (i.e., the amendment does not apply to sale and leaseback transactions entered into prior to the date of initial application).

The date of initial application is the beginning of the annual reporting period in which an entity first applied IFRS 16. Earlier application is permitted, and that fact must be disclosed. The amendments had no impact on the Group's financial statements.

Amendments to IAS 1: Classification of Liabilities as Current or Non-current

In January 2020, the IASB issued amendments to paragraphs 69 to 76 of IAS 1 to specify the requirements for classifying liabilities as current or non-current. The amendments clarify:

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

The amendments are effective for annual reporting periods beginning on or after 1 January 2024 and must be applied retrospectively. The amendments had no impact on the Group's financial statements.

Disclosures: Supplier Finance Arrangements - Amendments to IAS 7 and IFRS 7

In May 2023, the Board issued amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments:

The amendments clarify the characteristics of supplier finance arrangements. In these arrangements, one or more finance providers pay amounts an entity owes to its suppliers. The entity agrees to settle those amounts with the finance providers according to the terms and conditions of the arrangements, either at the same date or at a later date than that on which the finance providers pay the entity's suppliers.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2024. The amendments had no impact on the Group's financial statements.

4 **Changes in accounting policies and disclosures - Continued**

4b. **Standards and interpretations issued not yet effective**

The Group has chosen not to early adopt the following standards and interpretations, which have been published but not yet effective. The Group intends to adopt these new and amended standards and interpretations, if applicable, when they become effective.

Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7

In May 2024, the Board issued Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7), which:

The amendments will be effective for annual reporting periods beginning on or after 1 January 2026. Early adoption is permitted, but will need to be disclosed. The Company will continue to monitor its operations and adopt requirement where applicable.

Amendments to IFRS 10 and IAS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

If a parent loses control of a subsidiary which does not contain a business, as a result of a transaction with an associate or joint venture, then the gain or loss on the loss of control is recognised in the parents' profit or loss only to the extent of the unrelated investors' interest in the associate or joint venture. The remaining gain or loss is eliminated against the carrying amount of the investment in the associate or joint venture. The same treatment is followed for the measurement to fair value of any remaining investment which is itself an associate or joint venture. If the remaining investment is accounted for in terms of IFRS 9, then the measurement to fair value of that interest is recognised in full in the parents' profit or loss.

The effective date of the amendment is to be determined by the IASB.

It is unlikely that the amendment will have a material impact on the Group's audited financial statements.

Lack of exchangeability – Amendments to IAS 21

The amendment to IAS 21 specifies how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. A currency is considered to be exchangeable into another currency when an entity is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

If a currency is not exchangeable into another currency, an entity is required to estimate the spot exchange rate at the measurement date. An entity's objective in estimating the spot exchange rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions. The amendments note that an entity can use an observable exchange rate without adjustment or another estimation technique.

The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted, but will need to be disclosed.

4b. Standards and interpretations issued not yet effective - Continued**IFRS 18 Presentation and Disclosure in Financial Statements**

In April 2024, the IASB issued IFRS 18, which replaces IAS 1 Presentation of Financial Statements. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Furthermore, entities are required to classify all income and expenses within the statement of profit or loss into one of five categories: operating, investing, financing, income taxes and discontinued operations, whereof the first three are new.

IFRS 18 also requires disclosure of newly defined management-defined performance measures, subtotals of income and expenses, and includes new requirements for aggregation and disaggregation of financial information based on the identified 'roles' of the primary financial statements (PFS) and the notes.

In addition, narrow-scope amendments have been made to IAS 7 Statement of Cash Flows, which include changing the starting point for determining cash flows from operations under the indirect method, from 'profit or loss' to 'operating profit or loss' and removing the optionality around classification of cash flows from dividends and interest. In addition, there are consequential amendments to several other standards.

IFRS 18, and the amendments to the other standards, are effective for reporting periods beginning on or after 1 January 2027, but earlier application is permitted and must be disclosed. IFRS 18 will apply retrospectively.

The group is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

IFRS 19 Subsidiaries without Public Accountability: Disclosures

In May 2024, the IASB issued IFRS 19, which allows eligible entities to elect to apply its reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other IFRS accounting standards. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in IFRS 10, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements, available for public use, which comply with IFRS accounting standards.

Contracts Referencing Nature-dependent Electricity (previously Power Purchase Agreements) (Amendments to IFRS 9 and IFRS 7)

On 18 December 2024, the IASB issued amendments to enhance the reporting of financial effects from nature-dependent electricity contracts, commonly structured as power purchase agreements (PPAs).

The amendments take effect for annual reporting periods beginning on or after 1 January 2026, with early adoption permitted.

The amendments is not expected to have an impact on the Company's financial statements.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

5 Revenue

- a The Group's revenue represents the amount invoiced to customers for passenger handling, ground handling and cargo less trade discounts and exclude value added tax.

Revenue	Group		Company	
	Jun-26 N'000	Jun-25 N'000	Jun-26 N'000	Jun-25 N'000
Aircraft handling	22,131,600	20,570,399	22,131,600	20,570,399
Cargo handling (Import Cargo)	5,367,981	4,105,538	5,367,981	4,105,538
Cargo handling (Export Cargo)	925,689	659,837	925,689	659,837
Free zone, transshipment, logistics, ticketing & lounge services	1,824,398	1,450,675		
Agricultural products*	2,082,717	1,416,450		
	32,332,385	28,202,899	28,425,270	25,335,774
Revenue (others)				
Disinfection and other services	4,092	1,273,585	4,092	1,273,585
Equipment rental and maintenance	3,019,389	2,853,155	3,019,389	2,853,155
	3,023,481	4,126,740	3,023,481	4,126,740
Total revenue	35,355,866	32,329,639	31,448,751	29,462,514
Timing of revenue recognition				
Services transferred at a point in time	32,332,385	28,202,899	28,425,270	25,335,774
Services transferred over time	3,023,481	4,126,740	3,023,481	4,126,740
Total	35,355,866	32,329,639	31,448,751	29,462,514

Aircraft handling: Income from airport handling includes invoices raised for check in formalities, passenger profiling, security, and baggage handling (loading and offloading).

Cargo Handling: These include invoices raised for; cargo documentation services for airlines, import and export cargo facilitation through Nigeria's biggest network of customs bonded warehouses in Lagos, Kano, Abuja, Port-Harcourt and Enugu, using Galaxy computerisation system, which ensures safe storage and easy retrieval of cargoes.

Equipment rental and maintenance: The group leases its equipment to airlines for services that are not covered in the Standard Ground Handling Agreement.

*Agricultural products include Natural sesame seeds, Raw cashew nuts, Crude palm oil, Tea, etc

- b. Ten major customers contributed N19.37 billion for the period ended 30 June 2026 (2025: N10.2 billion) towards the revenue of the Group.

6 Other income	Group		Company	
	Jun-26 N'000	Jun-25 N'000	Jun-26 N'000	Jun-25 N'000
Rental income from investment property (Note 28)	109,377	108,130	109,377	108,130
Sundry income*	315,188	140,968	312,474	100,016
Profit on disposal of property, plant and equipment	30,631	-	29,977	-
Income from training services	3,567	5,671	3,567	5,671
	458,763	254,769	455,395	213,817

* Sundry income relates to commission received on third party collections such as Agents welfare Fees and ANLCA dues, agents' registration fees and interest received on accounts.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

7 Finance income and expense calculated using effective interest method

	Group		Company	
	Jun-26 N'000	Jun-25 N'000	Jun-26 N'000	Jun-25 N'000
Finance costs:				
Interest on lease liabilities (Note 26)	(214,398)	(254,763)	(214,398)	(254,763)
Interest on loans and borrowings (Note 27.2.1)	(660,067)	(856,449)	(609,324)	(790,520)
	<u>(874,465)</u>	<u>(1,111,212)</u>	<u>(823,722)</u>	<u>(1,045,283)</u>
Finance income:				
Interest income on fixed and bank deposits	649,235	1,265,707	551,603	1,254,048
	<u>649,235</u>	<u>1,265,707</u>	<u>551,603</u>	<u>1,254,048</u>
Net finance costs	<u>(225,230)</u>	<u>154,495</u>	<u>(272,119)</u>	<u>208,765</u>

The above finance income and expenses relate to transactions on financial assets and liabilities through statement of profit or loss.

8 Taxation

(a) The tax charge for the period comprises:

	Group		Company	
	Jun-26 N'000	Jun-25 N'000	Jun-26 N'000	Jun-25 N'000
Company income tax	2,067,658	2,906,194	1,971,132	2,845,521
Education tax (3%)	-	6,067	-	-
Development Levy (4%)	851,289	-	844,771	-
Prior year under provision*	602,151	2	590,979	-
	<u>3,521,098</u>	<u>2,912,263</u>	<u>3,406,882</u>	<u>2,845,521</u>
Deferred tax (Note 8c)	-	-	-	-
	<u>3,521,098</u>	<u>2,912,263</u>	<u>3,406,882</u>	<u>2,845,521</u>

*Under provision relates to provision for additional tax liability as a result of the tax audit exercise carried out by the Nigeria Revenue Service.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

8 Taxation- continued

(b) The movement on the current tax payable account during the year was as follows:

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
At 1 January	6,615,803	5,905,413	6,467,970	5,802,747
Charge for the year (Note 8a)	3,521,098	6,484,871	3,406,882	6,333,586
Payments made during the year	(5,564,816)	(3,970,324)	(5,469,199)	(3,864,206)
Withholding tax offset *	(232,127)	(1,804,157)	(232,127)	(1,804,157)
	-----	-----	-----	-----
At 30 June	4,339,958	6,615,803	4,173,526	6,467,970
	=====	=====	=====	=====

*Withholding tax offset is the withholding tax credit utilised and has been adjusted as such in the statement of cash flow

(c) The movement on the deferred tax liability during the year was as follows:

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
At 1 January	756,495	459,848	733,078	465,795
Tax (credit)/expense recognised in profit or loss (Note 8a)	-	296,647	-	267,283
	-----	-----	-----	-----
At 30 June	756,495	756,495	733,078	733,078
	=====	=====	=====	=====

NIGERIAN AVIATION HANDLING COMPANY PLC
NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued
9a. Operating costs

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Payroll cost (Note 9e)	7,166,523	6,543,302	7,049,329	6,438,432
Agricultural products & lounge catering	2,359,281	1,291,082		
Local travels	831	2,546	494	2,326
Depreciation, amortization (Note 9d)	1,595,161	983,834	1,566,896	977,809
Diesel & fuel	756,171	482,685	754,969	482,685
Oil, motor repairs & maintenance	69,252	131,352	66,937	129,861
Trainings (internal and external)	165,182	100,539	163,312	97,789
Outstation and estacode allowances	10,616	28,906	10,066	26,816
Air ticket (local and foreign)	26,482	36,190	26,035	36,190
Other security expenses***	26,009	17,022	17,409	17,022
Machineries and equipment spares	440,229	437,232	440,229	437,232
Boots, helmets, ear muff etc.	38,544	-	38,544	-
Computer consumables and network expense	176,356	53,450	175,967	52,085
Electricity	193,454	52,853	187,701	50,602
Insurance	158,606	134,873	154,657	132,542
Printing and stationeries	41,307	29,875	40,119	27,654
Relocation expenses (staff & equipment)	187,919	55,485	187,919	55,485
Office and warehouse maintenance	81,547	33,555	61,145	32,178
Aircraft Disinfectant costs	1,443	3,203	1,443	3,203
Concession expenses*	1,699,559	1,535,776	1,660,683	1,504,407
Short term lease	260,294	218,275	215,642	198,401
Other operating costs (Note 9ai)	1,053,781	994,767	802,325	361,862
	=====	=====	=====	=====
	16,508,547	13,166,802	13,621,821	11,064,581

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
9ai Other Operating Costs:				
Clearing charges	683	11,499	683	11,499
Office plant, equipment, fittings and Value-added service expense	10,779	3,770	10,779	3,673
Office Rent	109,142	88,960	1,867	88,905
Hotel accommodation	2,198	4,582	1,348	4,582
Motor running expenses and vehicles license	3,210	6,052	3,171	3,466
Consumables	44,145	36,708	31,878	36,320
Staff uniform & overall	-	7,887	-	7,887
Operational Cost - Inland Freights	119,768	571,376	-	-
Maintenance/Operations repairs & Maintenance	17,728	30,249	17,728	30,249
Year-end gifts	116,492	79,170	110,996	79,170
License renewals & Subscription	178,323	16,303	175,204	2,098
Long service award	60,475	-	60,475	-
Haji Expenses	-	11,579	-	11,579
Consulting	302,154		300,058	
Others**	88,684	126,632	88,138	82,434
	=====	=====	=====	=====
	1,053,781	994,767	802,325	361,862

* Concession expenses is a percentage of revenue based on concession agreement reached with Federal Airport Authority of Nigeria (FAAN), Bi-courtney aviation, IBOM Airport, etc.

** Others consist of water, utilities- others, network, damaged/loss cargo and airlines surcharge expenses.

*** Other security expenses relates to amount paid to Federal Airport Authority of Nigeria (FAAN) for all security access to airports in Nigeria.

NIGERIAN AVIATION HANDLING COMPANY PLC
NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued
9b. Administrative expenses:

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Payroll costs (Note 9e)	1,683,816	2,731,473	1,576,180	2,629,713
Directors' remuneration	100,300	110,723	100,300	110,723
Board expenses	259,232	667,699	209,300	593,778
Depreciation/amortization (Note 9d)	67,374	223,737	52,011	212,639
Trainings (internal and external)	160,623	203,026	159,751	198,085
Outstation and estacode allowances	65,097	148,914	64,647	144,036
Hotel accommodation & AGM expenses	146,067	101,237	144,300	101,237
Air ticket (local and foreign)	70,990	131,429	67,154	129,017
Outsourced security	66,103	53,800	66,103	53,800
Other security expenses*	49,436	69,893	42,998	68,512
Computer consumables	125,352	64,712	124,909	59,728
Electricity	70,400	164,423	64,898	157,500
Insurance	32,961	49,773	29,952	39,613
Printing and stationeries	23,045	62,072	19,602	56,690
Audit fees	42,168	42,950	31,218	35,475
Office and warehouse maintenance	30,335	79,970	14,523	75,561
Advertisement	17,476	540	17,476	-
Corporate social responsibility	645	1,703	645	1,703
Corporate gifts & year end gifts	94,924	87,743	90,815	86,964
Business development, Business promotion & Public relations	596,162	1,200,749	592,696	1,138,498
Foreign exchange difference ***	(21,088)	440,070	(79,568)	483,206
Professional fees (Note 9bii)	172,488	323,729	169,729	322,184
Other administrative expenses (Note 9bi)	559,544	819,983	523,040	739,766
	=====	=====	=====	=====
	4,413,450	7,780,348	4,082,679	7,438,428
	=====	=====	=====	=====

*Other security expenses consist of FAAN securities and access fees

*** Foreign exchange difference consist of realised exchange difference on purchases and importation of Ground Support Equipment (GSE) and unrealised exchange difference on financial assets and liabilities.

9b (i). Other administrative expenses:

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Cleaning & Fumigation	68,872	68,702	68,872	68,702
Other Motor Running Expenses	5,404	48,997	1,216	45,619
Office Plant, Equipment & Fittings	4,148	4,445	3,734	2,954
Telephone	23,277	15,612	22,207	15,612
Staff Uniform & Overall	-	3,751	-	3,751
Entertainment	37,600	30,871	37,058	30,871
Postages, Telex, Newspaper & Periodicals	614	760	614	730
Consumables	17,118	15,869	9,726	15,313
Bank charges	51,646	59,428	38,274	47,061
Donations	16,332	10,945	16,332	10,945
Fuel expenses	48,336	-	46,754	-
Network expenses	13,914	27,686	12,045	10,794
Licence renewal	103,964	204,680	98,051	200,659
Long Service Award	4,232	-	4,100	-
Others**	164,087	328,237	164,057	286,755
	=====	=====	=====	=====
	559,544	819,983	523,040	739,766
	=====	=====	=====	=====

**Others consist of Airline surcharge, water, lease rental, filing & company secretary fee, visa, travelling and logistics, stamp duty, etc.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

9b (ii) Professional fees are analysed as follows.

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Consulting fees	162,292	305,697	159,533	304,152
Registrar's fees	9,921	9,277	9,921	9,277
Legal fees	275	8,755	275	8,755
	-----	-----	-----	-----
	172,488	323,729	169,729	322,184
	=====	=====	=====	=====

9c. Expected credit losses

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Expected credit losses on trade receivables (Note 29a)	300,000		300,000	
Expected credit (write-back)/losses on intercompany (Note 20a)	-		-	
Expected credit (write-back)/losses on short term deposit (Note 22a)	-		-	
Expected credit losses on intercompany loan (Note 20c)	-		-	
	-----	-----	-----	-----
	300,000	-	300,000	-
	=====	=====	=====	=====

9d. Depreciation and Amortisation

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Depreciation of property, plant and equipment (Note 11)	1,536,304	1,155,638	1,495,251	1,138,681
Amortisation of intangible assets (Note 14)	66,211	11,795	63,636	11,629
Depreciation of investment property (Note 15)	4,198	5,626	4,198	5,626
Depreciation of right-of-use asset (Note 12&13)	55,822	34,512	55,822	34,512
	-----	-----	-----	-----
	1,662,535	1,207,571	1,618,907	1,190,448
	=====	=====	=====	=====
Depreciation and amortization allocation:				
Operating Costs (Note 9a)	1,595,161	983,834	1,566,896	977,809
Administrative expenses (Note 9b)	67,374	223,737	52,011	212,639
	-----	-----	-----	-----
	1,662,535	1,207,571	1,618,907	1,190,448
	=====	=====	=====	=====

9e. Payroll cost

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Payroll costs allocation:				
Operating costs (Note 9a)	7,166,523	7,834,384	7,049,329	6,438,432
Administrative expenses (Note 9b)	1,683,816	2,731,473	1,576,180	2,629,713
	-----	-----	-----	-----
	8,850,339	10,565,857	8,625,509	9,068,145
	=====	=====	=====	=====

10. Basic/diluted earnings per share

The calculation of basic earnings per share at 30 June 2026 was based on the earnings attributable to ordinary shareholders of Group of N10.86 billion (2025: N8.87 billion) (Company: 2026: N10.22 billion and 2025: N8.54 billion) and on ordinary shares of 2,227,500,000 (2025: 1,949,062,500) of 50k each being the average number of ordinary shares in issue during the year.

	Group		Company	
	Jun-26	Jun-25	Jun-26	Jun-25
	N'000	N'000	N'000	N'000
Profit attributable to ordinary shareholders	10,855,152	8,866,643	10,220,645	8,536,566
	=====	=====	=====	=====
Average number of ordinary shares	2,227,500	1,949,063	2,227,500	1,949,063
	=====	=====	=====	=====
Basic/ diluted earnings per share (Kobo)	487	455	459	438
	===	===	===	===

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

11 Property, Plant and Equipment (PPE) – Group

	Building	Plant & Machinery	Motor Vehicles	Computer Equipment	Furniture & Equipment	Capital WIP	Total
GROUP	N'000	N'000	N'000	N'000	N'000	N'000	N'000
COST:							
At 1 January 2025	4,124,366	15,035,622	1,352,458	1,951,550	760,623	11,448,483	34,673,102
Additions	-	1,676,928	908,000	162,712	212,218	2,607,795	5,567,653
Disposals	-	(214)	(88,765)	(21,677)	(195)	-	(110,851)
Write-off	-	-	-	-	-	(45,826)	(45,826)
Reclassification	225,563	9,601,657	-	-	-	(9,827,220)	-
At 31 December 2025	4,349,929	26,313,993	2,171,693	2,092,585	972,646	4,183,232	40,084,078
Additions	-	(563,162)	-	150,404	142,183	930,053	659,478
Disposals	-	(98,398)	-	-	-	-	(98,398)
Write-off	-	-	-	(57,340)	(2,587)	-	(59,927)
Reclassification	758	2,119,615	-	935	-	(2,121,308)	-
At 30 June 2026	4,350,687	27,772,048	2,171,693	2,186,584	1,112,242	2,991,977	40,585,231
ACCUMULATED DEPRECIATION:							
At 1 January 2025	930,783	7,366,708	765,373	1,645,721	607,637	-	11,316,222
Transfer	90,934	1,735,064	446,946	117,521	95,468	-	2,485,933
Disposals	-	(159)	(72,527)	(20,827)	(195)	-	(93,708)
At 31 December 2025	1,021,717	9,101,613	1,139,792	1,742,415	702,910	-	13,708,447
Charge for the period	57,055	1,141,152	193,963	75,474	68,660	-	1,536,304
Disposals	-	(98,398)	-	-	-	-	(98,398)
Write-off	-	-	-	(57,340)	(2,587)	-	(59,927)
Transfer	-	-	-	-	-	-	-
At 30 June 2026	1,078,772	10,144,367	1,333,755	1,760,549	768,983	-	15,086,426
NET BOOK VALUE:							
At 30 June 2026	3,271,915	17,627,681	837,938	426,035	343,259	2,991,977	25,498,805
At 31 December 2025	3,328,212	17,212,380	1,031,901	350,170	269,736	4,183,232	26,375,631

11 Property, plant and equipment (PPE) – Company

	Building	Plant & Machinery	Motor Vehicles	Computer Equipment	Furniture & Equipment	Capital WIP	Total
GROUP	N'000	N'000	N'000	N'000	N'000	N'000	N'000
COST:							
At 1 January 2025	4,036,251	14,222,699	1,258,398	1,901,325	670,711	11,444,803	33,534,187
Additions	-	1,676,426	908,000	145,742	184,460	2,217,176	5,131,804
Disposals	-	(214)	(88,225)	(20,893)	(195)	-	(109,527)
Write-off	-	-	-	-	-	(45,826)	(45,826)
Reclassification	225,563	9,601,657	-	-	-	(9,827,220)	-
At 31 December 2025	4,261,814	25,500,568	2,078,173	2,026,174	854,976	3,788,933	38,510,638
Additions	-	192,342	-	132,292	29,562	304,467	658,663
Disposals	-	(98,398)	-	-	-	-	(98,398)
Write-off	-	-	-	(57,340)	(2,587)	-	(59,927)
Reclassification	758	2,119,616	-	935.25	-	(2,121,309)	-
At 30 June 2026	4,262,572	27,714,127	2,078,173	2,102,061	881,951	1,972,091	39,010,976
ACCUMULATED DEPRECIATION:							
At 1 January 2025	915,094	6,556,466	721,951	1,617,953	555,600	-	10,367,064
Transfer	89,172	1,731,101	433,431	107,739	83,927	-	2,445,370
Disposals	-	(159)	(71,987)	(20,258)	(195)	-	(92,599)
At 31 December 2025	1,004,266	8,287,408	1,083,395	1,705,434	639,332	-	12,719,835
Charge for the period	56,175	1,139,183	187,204	64,149	48,540	-	1,495,251
Disposals	-	(98,398)	-	-	-	-	(98,398)
Write-off	-	-	-	(57,340)	(2,587)	-	(59,927)
Transfer	-	-	-	-	-	-	-
At 30 June 2026	1,060,441	9,328,193	1,270,599	1,712,243	685,284	-	14,056,761
NET BOOK VALUE:							
At 30 June 2026	3,202,131	18,385,934	807,574	389,818	196,667	1,972,091	24,954,215
At 31 December 2025	3,257,548	17,213,160	994,778	320,740	215,644	3,788,933	25,790,803

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

11b Property, plant and equipment – Continued

- i. None of the items of PPE has been pledged as securities for liabilities during the year. (2025; Nil)
- ii. Capital work-in-progress represents payments for GSEs and other Assets that are yet to be capitalized as at 30 June 2026.
- iii. Write off: This represents costs that have been capitalized as part of capital work in progress over a long period of time which could not be associated with any item of property, plant and equipment.
- iv. Reclassification: This represents Ground handling equipments that are reclassified/transferred from asset clearing account (Deposit for property, plant and equipment) to the respective class of asset.

12 Right-of-use assets - Group

	Leasehold building N'000	Leasehold land N'000	Total N'000
Cost;			
At 1 January 2025	903,637	50,219	953,856
Addition	1,709,846	-	1,709,846
	-----	-----	-----
At 31 Dec 2025	2,613,483	50,219	2,663,702
	-----	-----	-----
Addition	-	-	-
At 30 June 2026	2,613,483	50,219	2,663,702
	-----	-----	-----
Depreciation			
At 1 January 2025	336,686	12,910	349,596
Charge for the year	110,636	1,003	111,639
	-----	-----	-----
At 31 Dec 2025	447,322	13,913	461,235
Charge for the year	55,319	503	55,822
	-----	-----	-----
At 30 June 2026	502,641	14,416	517,057
	=====	=====	=====
Net Book Value			
At 30 June 2026	2,110,842	35,803	2,146,645
	=====	=====	=====
31-Dec-25	2,166,161	36,306	2,202,467
	=====	=====	=====

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

13. Right-of-use asset- Company

	Leasehold building N'000	Leasehold land N'000	Total N'000
Cost:			
At 1 January 2025	894,987	50,218	945,205
Addition	1,709,846	-	1,709,846
	-----	-----	-----
At 31 Dec 2025	2,604,833	50,218	2,655,051
Addition	-	-	-
	-----	-----	-----
At 30 June 2026	2,604,833	50,218	2,655,051
	-----	-----	-----
Depreciation:			
At 1 January 2025	328,035	12,910	340,945
Charge for the year	110,636	1,003	111,639
Transfer from property, plant and equipment	-	-	-
	-----	-----	-----
At 31 Dec 2025	438,671	13,913	452,584
Charge for the year	55,319	503	55,822
	-----	-----	-----
At 30 June 2026	493,990	14,416	508,406
	=====	=====	=====
Net Book Value			
At 30 June 2026	2,110,843	35,802	2,146,645
	=====	=====	=====
31-Dec-25	2,166,162	36,305	2,202,467
	=====	=====	=====

14 Intangible assets

	Group		Company	
	Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
Cost:				
At 1 January	1,431,700	565,818	1,334,053	468,846
Addition	-	877,207	-	876,532
Write off	(150,000)	(11,325)	-	(11,325)
	-----	-----	-----	-----
At 30 June 2026	1,281,700	1,431,700	1,334,053	1,334,053
	-----	-----	-----	-----
Amortization:				
At 1 January	385,629	373,982	384,572	373,326
Amortization for the year	66,211	22,972	63,636	22,571
Write off	(150,000)	(11,325)	-	(11,325)
	-----	-----	-----	-----
At 30 June 2026	301,840	385,629	448,208	384,572
	-----	-----	-----	-----
Carrying amount:				
At 30 June 2026	979,860	1,046,071	885,845	949,481
	=====	=====	=====	=====

i. None of the items of Intangible asset was pledged as securities for liabilities during the period (2025; Nil).

ii. Intangible asset consist of Oracle ERP, Microsoft 365, Zoho and Galaxy applications

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

15 Investment property

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
Cost:				
At 1 January	419,722	419,722	419,722	419,722
Additions	-	-	-	-
At 30 June 2026	419,722	419,722	419,722	419,722
Depreciation:				
At 1 January	165,354	154,817	165,354	154,817
Charge for the year	4,198	10,537	4,198	10,537
At 30 June 2026	169,552	165,354	169,552	165,354
Carrying amounts				
At 30 June 2026	250,170	254,368	250,170	254,368

The fair value of the investment property at 31 December 2025 was N854.1 million. Total rental revenue from the investment property for the period ended 30 June 2026 was N109.38 million (2025: N109.13 million). The fair value of the properties are based on valuation performed by JIDE TAIWO & Co . Estate Surveyors & Valuers accredited independent valuers. (FRC/2012/00000000311) with their staff lead valuer in person of Adejobi Adetunji (FRC/2023/PRO/NIESV/004/101262) is a renowned specialist in valuing this types of investment properties.

	Company	
	Jun-26	Jun-25
	N'000	N'000
Total Rental income from investment properties**	109,377	108,130
Direct operating expenses (including repairs and maintenance) generating rental income (included in operating cost)	(4,198)	(5,626)
Profit arising from investment properties	105,179	102,504

**The group has no restrictions on the realizability of its investment properties and no contractual obligations to purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

16 Investment in subsidiaries

	Company			
	Percentage holding	Jun-26	Percentage holding	Dec-25
		N'000		N'000
Shares in subsidiaries:				
Nahco FTZ Limited	100	10,000	100	10,000
Nahco Energy and Infrastructure Limited	100	125,500	100	125,500
NAHCO Logistics Services Limited (Formerly Mainland Cargo)	100	4,000	100	4,000
NAHCO Management Services Limited	51	25,500	51	25,500
NAHCO Travels and Hospitality Limited	100	30,000	100	30,000
NAHCO Foods and Beverages Limited	100	10,000	100	10,000
NAHCO Commodities Limited	70	21,000	70	21,000
NAHCO Academy Limited	100	5,000	100	5,000
NAHCO Power Solutions Limited	100	10,000	100	10,000
		241,000		241,000
Movement in investment in subsidiaries				
At 1 January		241,000		241,000
Acquisition of subsidiaries		-		-
Acquisition of Non-controlling interest		-		-
At 30 June		241,000		241,000

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

16 Investment in subsidiaries – Continued

Details of the Group's subsidiaries at the end of the reporting date are as follows:

(i) NAHCO FTZ Limited

The company holds N10million ordinary shares of N1 each in this subsidiary, representing 100% of the issued share capital. The principal activity of this subsidiary is the management and operation of Free Trade Zone which includes leasing of plant and equipment, logistics, warehousing, transshipment, manufacturing and provision of related services. NAHCO FTZ was granted approval to operate at the Murtala Mohammed International Airport, Lagos as NFZ by the Nigerian Export Processing Zone Authority (NEPZA) in February 2014 and the applicable fees have been paid. The company has since commenced activities towards making the zone operational.

(ii) NAHCO Energy and Infrastructure Limited

NAHCO Plc previously hold 63% shareholding in NAHCO Energy and Infrastructure Limited, however, on 1 January 2023, the Company acquired the Non-controlling interest 37% shareholding (15 million shares of N1 each) for N100 million. With this acquisition NAHCO Plc has increased its shareholding to 100% in NAHCO Energy & Infrastructure Limited. The company intends to carry out energy and power distribution in Nigeria.

Intercompany balances between the holding company and its subsidiaries have been eliminated on consolidation.

(iii) NAHOC Logistics Limited (Formerly Mainland Cargo Options Limited)

The company holds 4million ordinary shares in the subsidiary representing 40% of the issued share capital of N10 Million. The remaining 60% are owned by Nahco Energy and Infrastructure Limited, a fully owned subsidiary of NAHCO Plc. Consequently, the Group has 100% interest in NAHCO Logistics Services Limited (Formerly Mainland Cargo Options Limited). In addition, the business strategy, operations and the board of the Company are under the control of Nigerian Aviation Handling Company Plc. The company is into cargo logistics and started operations in 2015. The company changed its name to NAHCO Logistics Services Limited from Mainland Cargo Options Limited in 2024

(iv) NAHCO Management Services Limited

The company holds 25.5 million shares in the subsidiary representing 51% of the registered share capital of N50 million. The company intend to carry on the business of Airport operations services to include Aircraft maintenance, Airport maintenance, Airport facility maintenance and management. The company is yet to commence operations as at 30 June 2026.

(v) NAHCO Travels and Hospitality Limited

The company holds 30 million shares in the subsidiary representing 100% of the registered share capital of N30 million. The company intend to carry on the business of Travel, tour and hospitality. The company commenced operations during the year ended 31 December 2024.

(vi) NAHCO Foods and Beverages Limited

The company holds 100% interest in the subsidiary. The company is yet to commence operations as at 30 June 2026.

(vii) NAHCO Commodities Limited

The company holds 21 million shares in the subsidiary representing 70% of the registered share capital of N30 million. The company intend to carry on the business of Agriculture in its entirety including the growing, processig and packaging of agricultural products, agro and agro Allied produce, sales, supply, import and export of agricultural products and agricultural products aggregation. it also carry on the business of general contracts. The company commenced operations during the year ended 31 December 2024.

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

16 Investment in subsidiaries – Continued

(viii) NAHCO Academy Limited

The company holds 5 million shares in the subsidiary representing 100% of the registered share capital of N5 million. The company intend to carry on the business of manpower development and training both local and international through in-house courses, open program, professional development and personal development for the aviation industry and all other sectors that will benefit from trainings provided. The company is yet to commence operation as at 30 June 2026.

(ix) NAHCO Power Solutions Limited

The company holds 10 million shares in the subsidiary representing 100% of the registered share capital of N10 million. The company intend to carry on the business of provision of Energy. The company is yet to commence operation as at 30 June 2026.

Disclosure of Entity with Non-Controlling Interest within the Group

16a NAHCO Commodities Limited

Summary of financial position

NAHCO Commodities Limited as at 30 June 2026 is as shown below:

Proportion of equity interests held by non-controlling interests	"Country of incorporation and Operation"	30%	30%
--	--	-----	-----

NAHCO Commodities Limited	Nigeria	Jun-26 N'000	Dec-25 N'000
Non-current assets		2,110	713
Current assets		1,176,763	871,409
Total assets		1,178,873	872,122
Total equity		(51,988)	(22,494)
Non-current liabilities		172,667	-
Current liabilities		1,058,194	894,616
Total equity and liabilities		1,178,873	872,122
Equity attributable to:			
Equity holder of the parent		(36,392)	(15,746)
Non-controlling interest		(15,596)	(6,748)
		(51,988)	(22,494)

16b NAHCO Management Services Limited

Summary of financial position

NAHCO Management Services Limited as at 30 June 2026 is as shown below:

Proportion of equity interests held by non-controlling interests	"Country of incorporation and Operation"	49%	49%
--	--	-----	-----

NAHCO Management Services Limited	Nigeria	Jun-26 N'000	Dec-25 N'000
Non-current assets		-	-
Current assets		50,000	50,000
Total assets		50,000	50,000
Total equity		50,000	50,000
Non-current liabilities		-	-
Current liabilities		-	-
Total equity and liabilities		50,000	50,000
Equity attributable to:			
Equity holder of the parent		25,500	25,500
Non-controlling interest		24,500	24,500
		50,000	50,000

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

17	Inventories	Group		Company	
		Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
	Spare parts	673,019	614,066	673,019	614,066
	Stationeries/medical	203,323	346,583	203,323	346,583
	Diesel	153,987	141,505	153,987	141,505
	Oil & Lubricants	28,119	41,954	28,119	41,954
	Natural sesame seeds ,Raw cashew nuts & Tea & Catering	11,429	505,229	-	-
		=====	=====	=====	=====
		1,069,877	1,649,337	1,058,448	1,144,108
		=====	=====	=====	=====

Inventories recognized as an expense during the period ended 30 June 2026 amount to N706.629 million (2025: N904.427 million). This is disclosed as part of operating cost in the statement of profit or loss and other comprehensive income. No Inventory write down for the Company and Group as expense during the year (2025: N2.596).

The company did not pledge any of its inventories as securities for liabilities during the period ended 30 June 2026 (2025: Nil).

18	Prepayments	Group		Company	
		Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
	Prepayments comprise:				
	Prepaid insurance	210,566	365,935	205,850	361,285
	Prepaid vendor*	1,651,687	198,284	1,547,124	198,284
	Prepaid housing**	758,600	-	751,270	-
	Prepaid employees	27,039	-	15,231	-
	Short-term lease	5,308	274,650	-	-
	Prepaid charges	-	257,176	-	-
	Others***	587,412	154,898	329,067	46,169
		=====	=====	=====	=====
		3,240,612	1,250,943	2,848,542	605,738
		=====	=====	=====	=====

*This represents advance payment for spare parts and consumable items that are yet to be delivered.

**This is the upfront payment to staff for housing allowance in 2026

*** Others: this include advance payment for services that yet to be enjoyed by the entity such as HMO, annual dues etc.

19	Trade and other receivables	Group		Company	
		Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
	Trade and other receivables comprise:				
	Trade receivables (Note 29)	14,491,478	11,157,274	13,011,268	9,786,093
	Less Allowance for expected credit losses (Note 29)	(2,597,655)	(2,297,655)	(2,451,798)	(2,151,798)
		=====	=====	=====	=====
		11,893,823	8,859,619	10,559,470	7,634,295
	Withholding tax receivable **	2,230,966	2,124,793	2,187,781	2,088,864
	Other receivables	248,332	149,891	153,952	114,858
		=====	=====	=====	=====
		14,373,121	11,134,303	12,901,203	9,838,017
		=====	=====	=====	=====

Trade receivables are invoices on ground handling services issued to customers net of taxes and allowance for expected credit losses on the debts. The group's credit policy allows a 30-day credit period for all its customers.

Other receivables consist of rent advance, fund advance, recoverable deposit and staff advance for routine services to be carried out. This is to be retired within fourteen (14) days or on the completion of projects.

19.1 Summary of financial and non-financial assets:	Group		Company	
	Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
Financial assets	12,142,155	9,009,510	10,713,422	7,749,153
Non-financial asset	2,230,966	2,124,793	2,187,781	2,088,864
	=====	=====	=====	=====
	14,373,121	11,134,303	12,901,203	9,838,017
	=====	=====	=====	=====

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

20	Intercompany receivables	Company	
		Jun-26	Dec-25
		N'000	N'000
	Nahco FTZ Limited	54,153	41,426
	NAHCO Logistics Services Limited	116,854	46,616
	NAHCO Travel and Hospitality Limited	176,988	267,494
	NAHCO Commodities Limited	84,084	61,191
		-----	-----
		432,079	416,727
	Less allowance for expected credit loss (Note 20a)	(431)	(431)
		-----	-----
		431,648	416,296
		=====	=====

20a.	Allowance for expected credit losses of Intercompany receivables	Company	
		Jun-26	Dec-25
		N'000	N'000
	At 1 January	431	431
	Expected credit (write-back)/losses (Note 9c)	-	-
		-----	-----
	At 30 June	431	431
		=====	=====

Intercompany receivables are funding assistance provided to subsidiaries to finance operations. The fund is repayable on demand and attracts no interest. Intercompany receivables are eliminated in the consolidated financial statements of the Group.

20b	Intercompany loan	Company	
		Jun-26	Dec-25
		N'000	N'000
	NAHCO Travels and Hospitality Limited	122,170	122,170
	NAHCO Commodities Limited	210,000	210,000
		-----	-----
		332,170	332,170
	Less allowance for expected credit loss (Note 20c)	(7,011)	(7,011)
		-----	-----
		325,159	325,159
		=====	=====

Movement in intercompany loans as shown below:		Jun-26	Dec-25
		N'000	N'000
	At 1 January	332,170	3,502,370
	Addition during the year		39,800
	Repayment		(3,210,000)
		-----	-----
	At 30 June	332,170	332,170
		=====	=====

The Group granted a loan of N210 million to NAHCO Commodities Limited and N122.17 million to NAHCO Travels and Hospitality Limited for the purpose of working capital support. The loan is repayable on demand.

20c.	Allowance for expected credit losses of Intercompany loan	Company	
		Jun-26	Dec-25
		N'000	N'000
	At 1 January	7,011	94,238
	Expected credit loss expenses (Note 9c)	-	(87,227)
		-----	-----
	At 30 June	7,011	7,011
		=====	=====

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

21 Related party transactions

The following table provides the total amount of transactions that have been entered into with related parties for the relevant financial year:

		Related party loan	Payments on behalf of related parties	Rent/ service charge	Amounts due from/ (to) related parties
		N'000	N'000	N'000	N'000
NAHCO FTZ Limited	2026	-	54,153	6,000	60,153
	2025	-	29,426	12,000	41,426
NAHCO Energy and Infrastructure Limited	2026	-	(125,500)	-	(125,500)
	2025	-	(125,500)	-	(125,500)
NAHCO Logistics Services Limited	2026	-	116,854	-	116,854
	2025	-	(90,957)	-	(90,957)
NAHCO Management Services Limited	2026	-	(25,500)	-	(25,500)
	2025	-	(25,500)	-	(25,500)
NAHCO Travels and Hospitality Limited	2026	122,170	146,988	-	269,158
	2025	122,170	241,994	-	364,164
NAHCO Foods and Beverages Limited	2026	-	-	-	(10,000)
	2025	-	-	-	(10,000)
NAHCO Commodities Limited	2026	210,000	84,084	-	294,084
	2025	210,000	61,191	-	271,191
NAHCO Academy Limited	2026	-	-	-	(5,000)
	2025	-	-	-	(5,000)
NAHCO Power and Solutions Limited	2026	-	-	-	(10,000)
	2025	-	-	-	(10,000)

Nature of related party transactions

Intercompany receivables are payments made on behalf of the subsidiaries. The subsidiaries have been informed and the company expects to get value from the subsidiaries.

Intercompany receivables are eliminated in the consolidated financial statements.

Parent

The ultimate controlling party of the Group is Nigerian Aviation Handling Company Plc (nahco aviance). The company owns a 100% stake in a Subsidiary, NAHCO FTZ 100%, NAHCO Travels and Hospitality Limited 100%, NAHCO Foods and Beverages Limited 100%, NAHCO Academy Limited 100% and 100% stake in NAHCO Energy and Infrastructure and NAHCO Logistics Services Limited respectively. Nahcoaviance also, owns 70% stake in Nahco commodities Ltd and 51% in Nahco Management Services Ltd.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

22	Cash and Cash Equivalents	Group		Company	
		Jun-26 N'000	Dec-25 N'000	Jun-26 N'000	Dec-25 N'000
	Bank balances	1,201,163	9,275,442	741,592	8,693,492
	Domiciliary accounts	2,821,832	1,681,217	503,267	619,613
	Short term deposits	109,931	250,429	109,502	100,000
		-----	-----	-----	-----
		4,132,926	11,207,088	1,354,361	9,413,105
	Allowances for Expected credit losses on Short-term deposits	(426)	(426)	(426)	(426)
		-----	-----	-----	-----
		4,132,500	11,206,662	1,353,935	9,412,679
		=====	=====	=====	=====

Short-term deposits are made for varying period between one day and three months depending on the Immediate cash requirements of the Group and earn interest at the respective short-term deposit rates.

Cash at banks earns interest at floating rates based on daily bank deposit rates and available on demand, hence no expected credit loss is computed on bank balances.

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

22 Cash and Cash Equivalents - Continued

22.1 For the purpose of cash flows, cash and cash equivalents comprise the following

	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
Cash and short-term deposits	4,132,926	11,207,088	1,354,361	9,413,105
Bank overdraft (Note 27.2)	(1,953,925)	(1,807,304)	(1,953,925)	(1,807,304)
Total Cash and cash equivalents	<u>2,179,001</u>	<u>9,399,784</u>	<u>(599,564)</u>	<u>7,605,801</u>

22a. Allowances for expected credit losses/(write back) of short-term deposits

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
At 1 January	426	1,322	426	323
Expected credit loss/(write-back) (Note 9c)	-	(896)	-	103
At 30 June	<u>426</u>	<u>426</u>	<u>426</u>	<u>426</u>

23 Share capital

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
2,227,500,000 (2025: 1,949,062,500 called-up and fully paid ordinary shares of 50 kobo each)	1,113,750	974,531	1,113,750	974,531
	<u>1,113,750</u>	<u>974,531</u>	<u>1,113,750</u>	<u>974,531</u>

All shares rank equally with regard to the Group's residual assets.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Group.

Movement in share capital

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
Called-up and fully paid				
1,949,062,500 ordinary shares of 50 kobo each	974,531	974,531	974,531	974,531
278,437,500 bonus issue (1 for 7) shares of 50 kobo each	139,219	-	139,219	-
	<u>1,113,750</u>	<u>974,531</u>	<u>1,113,750</u>	<u>974,531</u>

24 Share premium

	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
At 1 January	1,752,336	1,752,336	1,752,336	1,752,336
Bonus shares issue	(139,219)	-	(139,219)	-
At 30 June	<u>1,613,117</u>	<u>1,752,336</u>	<u>1,613,117</u>	<u>1,752,336</u>

Share premium is the excess paid by shareholders over the nominal value for their shares.

25 Retained earnings

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	₦'000	₦'000	₦'000	₦'000
At 1 January	23,235,746	17,314,624	22,012,402	15,704,422
Dividend paid (Note 25c)	(12,181,641)	(11,577,428)	(12,181,641)	(11,577,428)
Total comprehensive income for the year	10,855,152	17,498,550	10,220,645	17,885,408
At 30 June	<u>21,909,257</u>	<u>23,235,746</u>	<u>20,051,406</u>	<u>22,012,402</u>

Retained earnings represent the income net of expenses from past periods, carried forward plus current period profit attributable to shareholders.

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

25 Retained earnings - Continued

25b. Non-Controlling Interest

	Group	
	Jun-26	Dec-25
	N'000	N'000
As at 1 January	17,752	33,500
Addition in the year	-	
Share of current Profits/(Losses)	(8,848)	(15,748)
	-----	-----
At 30 June	8,904	17,752
	=====	=====

25c. Dividend Per share

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
Dividend paid	12,181,641	11,577,428	12,181,641	11,577,428
	-----	-----	-----	-----
Number of shares in issue	1,949,062	1,949,062	1,949,062	1,949,062
Dividend Per share (kobo)	6.25	5.94	6.25	5.94

26 Lease Liabilities

Group	Building	Building
Cost	Jun-26	Dec-25
	N'000	N'000
At 1 January	2,471,508	1,132,194
Addition		1,709,846
Accretion of interest	214,398	446,294
Lease payment	(544,302)	(816,826)
	-----	-----
As at 30 June	2,141,604	2,471,508
	=====	=====
Current	-	103,278
Non-current	2,141,604	2,368,230
	-----	-----
	2,141,604	2,471,508
	=====	=====
Company	Building	Building
Cost	Jun-26	Dec-25
	N'000	N'000
At 1 January	2,471,508	1,132,194
Addition		1,709,846
Accretion of interest	214,398	446,294
Lease payment	(544,302)	(816,826)
	-----	-----
As at 30 June	2,141,604	2,471,508
	=====	=====
	Jun-26	Dec-25
	N'000	N'000
Current		103,278
Non-current	2,141,604	2,368,230
	-----	-----
	2,141,604	2,471,508
	=====	=====

NIGERIAN AVIATION HANDLING COMPANY PLC
NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued
Lease Liabilities - Continued

The following are the amounts recognized in the profit or loss:

	2026 Group N'000	2026 Company N'000
Depreciation expense of right-of-use assets (Note 12 and 13)	55,822	55,822
Short term leases (Note 9a)	260,294	215,642
Interest expense on lease liabilities (Note 7)	(214,398)	(214,398)
Total Amount recognized in the profit or loss	101,718	57,066
	=====	=====
	2025 Group	2025 Company
Depreciation expense of right-of-use assets (Note 12 and 13)	111,639	111,639
Short term leases (Note 9a)	601,244	387,021
Interest expense on lease liabilities (Note 7)	(446,294)	(446,294)
Total Amount recognized in the profit or loss	266,589	52,366
	=====	=====

27	Trade and other payables	Group Jun-26 N'000	Dec-25 N'000	Company Jun-26 N'000	Dec-25 N'000
	Trade and other payables comprise:				
	Trade payables	1,424,053	2,205,631	1,252,344	1,838,412
	Other payables (Note 27.1)	12,320,433	9,579,236	11,755,473	9,297,370
	Due to related parties (Note 27.3)	-	-	80,500	218,063
		13,744,486	11,784,867	13,088,317	11,353,845
		=====	=====	=====	=====

The group maintains a 60-days credit period with all vendors.

27.1	Other payables	Group Jun-26 N'000	Dec-25 N'000	Company Jun-26 N'000	Dec-25 N'000
	Financial liabilities:				
	Concession fee: FAAN rental & service charge	4,847,331	3,102,518	4,836,081	3,013,192
	Unclaimed dividend (27.1.1)	1,168,563	1,168,563	1,168,563	1,168,563
	Inventory AP accrual	176,059	9,430	176,059	2,874
	Expense AP accrual	54,008	55,913	54,008	55,913
	Memorandum of understanding credit note	1,363	58,380	1,363	58,380
	Industrial training fund	197,507	231,612	197,507	231,612
	Pension payables	42,984	47,287	42,984	47,287
	Accrued charges	409,597	21,276	309,460	100,133
		6,897,412	4,694,979	6,786,025	4,677,954
		=====	=====	=====	=====
	Non financial liabilities				
	Deposit for services	836,170	635,443	758,171	597,950
	Directors' retirement***	412,750	385,033	393,750	356,250
	Staff participatory scheme****	731,288	1,493,973	725,000	1,486,973
	Performance bonus *****	905,912	1,007,410	895,715	1,002,075
	Value Added Tax	1,044,740	688,067	1,003,358	687,260
	Withholding Tax	48,325	60,107	28,331	36,566
	Amount due to government agencies**	140,953	153,428	140,907	153,428
	Other accruals*	1,302,883	460,796	1,024,216	298,914
		5,423,021	4,884,257	4,969,448	4,619,416
		=====	=====	=====	=====
		12,320,433	9,579,236	11,755,473	9,297,370
		=====	=====	=====	=====

* Other accruals include Provision for non-accident bonus, insurance claim payable, Provision for year-end/corporate gift, agent welfare fees, staff retention benefit etc.

** This represents PAYE payable to some states of the federation as well as FCT and the National Housing Scheme

*** This represents provision for Directors' retirement as approved by the Board.

**** This represents provision for Staff share of Profit for the year based on certain percentage of the profit after tax as prescribed in the staff hand book.

***** This represents bonus payable to staff subject to individual employee performance appraisal and the performance of the Company and its subsidiaries for the year.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

27 Trade and other payables - Continued

Summary of financial and non-financial liability:

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
Financial liabilities	8,321,465	6,900,610	8,118,869	6,734,429
Non-financial liabilities	5,423,021	4,884,257	4,969,448	4,619,416
	13,744,486	11,784,867	13,088,317	11,353,845
	=====	=====	=====	=====

*Included in the financial liabilities above is trade payables and due to related parties balances.

27.1.1 Unclaimed dividend

Unclaimed dividend amounting to N1.169 billion (2025:N1.169 billion) represents the funds returned to the Group by the Registrars. This amount has been invested by the Group. Any dividend not claimed/paid six months after the date of declaration is returned to the company by the Registrar, and this is recorded as liability in the company's books.

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
27.2 Interest bearing loan and borrowings				
Current:				
Bank overdraft	1,953,925	1,807,304	1,953,925	1,807,304
Medium term loan - StanbicBTC	-	2,295,249	-	2,295,249
Shareholders loan	172,667	163,167	-	-
	2,126,592	4,265,720	1,953,925	4,102,553
Non-current:				
Medium term loan - StanbicBTC	2,428,360	1,208,507	2,428,360	1,208,507
	4,554,952	5,474,227	4,382,285	5,311,060
	=====	=====	=====	=====

27.2.1 Movement in interest-bearing loans and borrowings from third parties is as shown below:

	Group		Company	
	Jun-26	Dec-25	Jun-26	Dec-25
	N'000	N'000	N'000	N'000
At 1 January	5,474,227	5,327,034	5,311,060	5,237,034
Addition during the year	1,229,352	50,000	1,219,853	-
Bank Overdraft	146,621	1,807,304	146,621	1,807,304
Repayment during the year	(2,295,249)	(1,745,015)	(2,295,249)	(1,745,015)
Accrued interest	660,067	1,741,570	609,324	1,600,153
Interest paid	(660,067)	(1,706,666)	(609,324)	(1,588,416)
At 30 June 2026	4,554,951	5,474,227	4,382,285	5,311,060
	=====	=====	=====	=====
Current portion	2,126,591	4,265,720	1,953,925	4,102,553
Non-current portion	2,428,360	1,208,507	2,428,360	1,208,507
	4,554,951	5,474,227	4,382,285	5,311,060
	=====	=====	=====	=====

Bank overdraft

Bank overdrafts represent facilities obtained from Guaranty Trust Bank Plc with a maximum limit upto NGN 2 billion with a tenor of 12 months at interest rates of 28% per annum.

Medium term loan - StanbicBTC

In March 2024, NAHCO Plc obtained a N5.227 billion term loan from StanbicBTC Bank, this was disbursed in 3 tranches to finance the cost of acquisition of ground handling equipment to be used for the day-to-day operations of the company. The term loan has a contractual interest rate ranges between 24% to 27.5% p.a with a tenor of 3 years.

NIGERIAN AVIATION HANDLING COMPANY PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

		Company	
		Jun-26	Dec-25
		N'000	N'000
27.3 Due to related parties			
NAHCO Management Services Limited		25,500	25,500
NAHCO Travels and Hospitality Limited		30,000	30,000
NAHCO Foods and Beverages Limited		10,000	10,000
NAHCO Academy Limited		5,000	5,000
NAHCO Commodities Limited		-	-
NAHCO Logistics Services Limited		-	137,563
NAHCO Power Solutions Limited		10,000	10,000
		<u>80,500</u>	<u>218,063</u>
		=====	=====

This relates to NAHCO Plc unpaid shareholding in its subsidiaries.

		Group		Company	
		Jun-26	Dec-25	Jun-26	Dec-25
		N'000	N'000	N'000	N'000
28 Deferred income					
At 1 January		2,020,768	197,531	103,386	12,606
Rent received during the year		(418,072)	1,972,904	105,718	240,447
Amount released to the profit or loss		(109,377)	(149,667)	(109,377)	(149,667)
		<u>1,493,319</u>	<u>2,020,768</u>	<u>99,727</u>	<u>103,386</u>
		=====	=====	=====	=====

The above represents majorly, rent received in advance on investment properties and warehouses

29 Allowance for expected credit losses

The aging of trade receivables at the reporting date were:

		Group		Company	
		Jun-26	Dec-25	Jun-26	Dec-25
		N'000	N'000	N'000	N'000
Current (1- 30 days)		8,678,992	7,914,186	7,792,489	7,527,044
31-90 days		2,763,587	2,166,544	2,481,305	1,260,570
91-180 days		2,363,952	596,703	2,122,490	566,130
More than 180 days		684,947	479,841	614,984	432,349
		<u>14,491,478</u>	<u>11,157,274</u>	<u>13,011,268</u>	<u>9,786,093</u>
Expected credit loss (Note29a)		(2,597,655)	(2,297,655)	(2,451,798)	(2,151,798)
		<u>11,893,823</u>	<u>8,859,619</u>	<u>10,559,470</u>	<u>7,634,295</u>
		=====	=====	=====	=====

29a The movement in the allowance for expected credit loss in respect of trade receivables during the period was as follows:

		Group		Company	
		Jun-26	Dec-25	Jun-26	Dec-25
		N'000	N'000	N'000	N'000
At 1 January		2,297,655	1,686,197	2,151,798	1,535,273
Derecognition of asset		-	(6,277)	-	-
Allowance for expected credit losses		300,000	617,735	300,000	616,525
		<u>2,597,655</u>	<u>2,297,655</u>	<u>2,451,798</u>	<u>2,151,798</u>
		=====	=====	=====	=====

The expected credit loss on trade receivables were in respect of receivables for which the Group has determined that there are objective indicators of impairment. Impairment losses have been recognized based on the difference between the carrying amounts and the present value of the estimated future cash flows on these receivables. The Group holds no collateral in respect of its trade receivables. Expected credit loss on trade receivables is recognized in Statement of profit or loss and other comprehensive income.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

30 Financial Risk Management objectives and policies**Overview**

The Group's principal financial liabilities comprise lease liabilities and trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group's financial assets include trade and other receivables, investments and cash and bank balances.

The Group has exposure to the following risks from its use of financial instruments:

- Credit Risk
- Liquidity Risk
- Market Risk

The Group's senior management oversees the management of these risks. The Board of Directors reviews and agrees policies for managing each of these risks.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk.

Further quantitative disclosures are included throughout these financial statements.

30.1a Credit risk

Credit risk is the risk that a counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The sources of the Group's credit risk include trade receivables, intercompany receivables and deposits with banks and financial institutions and investments in debt instrument.

30.1a. Trade receivables

Customer credit risk is managed by credit managers and management as a whole subject to the Group's established policy, procedures and control relating to customer credit risk management. Credit quality of the customer is assessed based on an extensive credit rating scorecard and individual credit limits are defined in accordance with this assessment. Outstanding customer receivables are regularly monitored and any deliveries to major customers are generally covered by valid customer order. Customer backgrounds are studied to avoid concentration risk.

Deposits with banks and other financial institutions

Credit risk from balances with banks and financial institutions is managed by the Group's treasury department in accordance with the Group's policy. Investment of surplus funds are made only with approved counterparties and within credit limits assigned to each counterparty. Counterparty credit limits are reviewed by the Group's Board of Directors on an annual basis throughout the year, subject to approval of the Group's Finance Committee. The limits are set to minimize the concentration of risks and therefore mitigate financial loss through potential counterparty's failure to make payments. The Group's maximum exposure to credit risk at the reporting date is the carrying value of each of class of financial assets disclosed below:

	Jun-26 N'000	Group Dec-25 N'000	Jun-26 N'000	Company Dec-25 N'000
Trade receivables : (Note 19)	14,491,478	11,157,274	13,011,268	9,786,093
Other receivables : (Note 19)	248,332	149,891	153,952	114,858
Intercompany loan : (Note 20b)	-	-	332,170	332,170
Intercompany receivables : (Note 20)	-	-	432,079	416,727
Bank balances: (Note 22)	1,201,163	9,275,442	741,592	8,693,492
Domiciliary accounts : (Note 22)	2,821,832	1,681,217	503,267	619,613
Short term deposits : (Note 22)	109,931	250,429	109,502	100,000
	<u>18,872,736</u>	<u>22,514,253</u>	<u>15,283,830</u>	<u>20,062,953</u>
	=====	=====	=====	=====

Trade receivables

For trade receivables, the Group applied the simplified approach in computing ECL. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. An impairment analysis is performed at each reporting date using a provision matrix to measure expected credit loss (ECL). The provision rates are based on days past due for groupings of various customer segments with similar loss patterns. The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions.

When trade receivables are uncollectible, it is written off as 'administrative expenses' in the profit or loss. Subsequent recoveries of amounts previously written off are included in other operating income.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

31 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities as at when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group uses activity-based costing to cost its products and services, which assists it in monitoring cash flow requirements and optimizing its cash return on investments. Typically, the Group ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The table below summarises the maturity profile of the Group's financial assets and liabilities based on contractual undiscounted receipts and payments

	Group	Company
	30-Jun-26	30-Jun-26
	N'000	N'000
Bank balances (Note 22)	1,201,163	741,592
Domiciliary accounts (Note 22)	2,821,832	503,267
Short term deposits (Note 22)	109,931	109,502
Trade & Other receivables (Note 19)	16,970,776	15,353,001
Intercompany loan (Note 20b)		332,170
Intercompany receivables (Note 20)		432,079
	-----	-----
Total financial assets	21,103,702	17,471,611
	-----	-----
	N'000	N'000
Trade and other payables (Note 27)	8,321,465	8,118,869
Interest bearing borrowings (Note 27.2)	2,126,592	1,953,925
Lease liability (Note 26)	-	-
	-----	-----
Total financial liabilities	10,448,057	10,072,794
	-----	-----
Net Financial Asset Position	10,655,645	7,398,817
	=====	=====

*Withholding tax, Amount due to government agencies (including PAYE), industrial training fund (ITF), VAT payables and impairment losses are not financial instrument. Accordingly, they have been excluded from trade and other payables.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

Market risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprise three types of risk: interest rate risk, currency risk and other price risk, such as equity price risk and commodity risk. The Group is exposed to currency risk and insignificant interest rate risk. Financial instruments affected by currency risk include cash and short-term deposit, trade and other receivables and trade and other payables.

Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in a different currency from the Group's functional currency). Management has set up a policy requiring the Group to manage its foreign currency risk against its functional currency. To manage its foreign currency risk arising from future commercial transaction and recognised asset and liabilities, the Group ensures that significant transaction is contracted in the functional currency.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Management monitors changes in the MPR regularly and, based on its stability during the reporting period, considers the Group's interest rate risk exposure to be insignificant at the reporting date.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

32 Capital management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholder value. The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares.

The Group monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt. The Group's policy is to keep the gearing ratio between 40% and 50%. The Group includes within net debt, trade and other payables and interest bearing borrowings less cash and short-term deposits.

33 Fair value measurement of financial assets and liabilities

The management assessed that cash and cash equivalents, trade and other receivables, trade and other payables approximate their carrying amounts largely due to the short-term maturities of these instruments.

33 Fair value measurement of financial assets and liabilities - continued

The fair values of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

Cash and short-term deposits, trade receivables, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

Investment properties are evaluated using the DCF method, using assumptions regarding the benefits and liabilities of ownership over the asset's life including an exit or terminal value. This method involves the projection of a series of cash flows on a real property interest. To this projected cash flow series, a market-derived discount rate is applied to establish the present value of the income stream associated with the asset. The exit yield is normally separately determined and differs from the discount rate.

The duration of the cash flows and the specific timing of inflows and outflows are determined by events such as rent reviews, lease renewal and related re-letting, redevelopment, or refurbishment. The appropriate duration is typically driven by market behaviour that is a characteristic of the class of real property. Periodic cash flow is typically estimated as gross income less vacancy, non-recoverable expenses, collection losses, lease incentives, maintenance cost, agent and commission costs and other operating and management expenses. The series of periodic net operating income, along with an estimate of the terminal value anticipated at the end of the projection period, is then discounted.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS - Continued

34 Capital commitments

The group do not have any capital commitments as at 30 June 2026 (2025: Nil)

35 Events after the reporting date

No event or transactions have occurred since the end of the reporting date, which would have a material effect upon the consolidated and separate financial statements at that date or which need to be mentioned in the consolidated and separate financial statements in order to make them not misleading as to the financial position or results of operations.

Securities Trading Policy

In compliance with 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule)

Nigerian Aviation Handling Company Plc maintains a Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the companys shares

The policy undergoes periodic reviews by the Board and is updated accordingly. The Company has made specific inquiries of all its directors and other insiders and is not aware of any infringement of the policy during the period.